

have been confused. But one of them is a staid New England trust, administered by three trustees, with operations dating back nearly a century, and with dividends paid continuously since 1889. It has kept throughout to the same type of prudent investments, limiting its expansion to a moderate rate and its debt to an easily manageable figure.*

The other is a typical New York-based sudden-growth venture, which in eight years blew up its assets from \$6.2 million to \$154 million, and its debts in the same proportion; which moved out from ordinary real-estate operations to a miscellany of ventures, including two racetracks, 74 movie theaters, three literary agencies, a public-relations firm, hotels, supermarkets, and a 26% interest in a large cosmetics firm (which went bankrupt in 1970).† This conglomeration of business ventures was matched by a corresponding variety of corporate devices, including the following:

1. A preferred stock entitled to \$7 annual dividends, but with a par value of only \$1, and carried as a liability at \$1 per share.
2. A stated common-stock value of \$2,500,000 (\$1 per share), more than offset by a deduction of \$5,500,000 as the cost of 209,000 shares of reacquired stock.
3. Three series of stock-option warrants, giving rights to buy a total of 1,578,000 shares.
4. At least six different kinds of debt obligations, in the form of mortgages, debentures, publicly held notes, notes payable to banks, “notes, loans, and contracts payable,” and loans payable to the Small Business Administration, adding up to over \$100 million in March 1969. In addition it had the usual taxes and accounts payable.

Let us present first a few figures of the two enterprises as they appeared in 1960 (Table 18-1A). Here we find the Trust shares selling in the market for nine times the aggregate value of Equities stock. The Trust enterprise had a smaller relative debt and a better ratio of net to gross, but the price of the common was higher in relation to per-share earnings.

TABLE 18-1A. Pair 1. Real Estate Investment Trust vs. Realty Equities Corp. in 1960